
Regal Rexnord - Altra

Accretion Dilution Model

Date completed: 9/3/2026
Analysis performed using data available on 3/1/23

By: Tyler Spencer

Is this deal accretive or dilutive?	per share	% per share
<i>Is dilutive on a GAAP basis</i>	(\$0.68)	(9.3%)
<i>Is accretive on a cash basis</i>	\$0.57	7.8%
<i>Is accretive on an adjusted basis</i>	\$1.06	10.3%
<i>Cash/ adjusted EPS accretive; GAAP breaks even at +\$56.5mm synergies</i>		

Legend	
Blue	Hardcoded input
Green	Direct cross-tab reference only (e.g. =Assumptions!N9). Formulas that compute using another tab's inputs stay black.
Black	Formula computed (same tab or across tabs), all labels, and data table outputs
Red	Link to an external file

Blue is also used for Pro Forma BS cells that sum raw 10-K line items (inputs in substance); see cell comments for the components.

Regal Rexnord - Altra Summary

(In millions, except per share data)

DEAL TERMS	
Offer price per share	\$62.00
Consideration / structure	100% Cash
Premium to unaffected (10/26/22)	54.0%
Equity value (offer)	4,101.3
Enterprise value (offer)	4,936.9
EV / CY2022 Adjusted EBITDA	12.7x

FINANCING	
Total new debt raised	4,892.9
Blended rate on new debt	6.20%
Pro forma gross debt	6,916.4
Pro forma net debt	6,422.5
PF gross debt / Adjusted EBITDA	4.6x
PF net debt / synerg. Adjusted EBITDA	3.9x
Target leverage (mgmt)	2.5x – 3.0x

PRO FORMA — FY22 , FULL RUN-RATE SYNERGIES	GAAP	Cash	Adjusted
Pro forma net income	443.4	527.0	762.6
Pro forma diluted shares	67.1	67.1	67.1
Pro forma EPS	\$6.61	\$7.86	\$11.37
Acquirer standalone EPS	\$7.29	\$7.29	\$10.31
Accretion / (dilution) \$	(\$0.68)	\$0.57	\$1.06
Accretion / (dilution) %	(9.3%)	7.8%	10.3%
Add'l pretax synergies to breakeven	56.5	0.0	0.0

RECONCILIATION vs. DISCLOSED				
	Model	Disclosed	Diff	% Diff
Goodwill created	2,695.7	2,614.6	81.1	3.1%
Offer value (equity)	4,101.3	4,110.0	(8.7)	(0.2%)

FY2022 basis, full run-rate synergies. GAAP EPS includes incremental D&A and financing-fee amortization. Cash EPS excludes incremental D&A and financing-fee amortization.

Adjusted EPS adds back all intangible amortization (acquirer + target), restructuring, and transaction/deal costs (management-adjusted basis; retains incremental depreciation and financing-fee amortization); standalone acquirer EPS adjusted on the same basis. Blue = disclosed reference.

Regal Rexnord - Altra

Assumptions

(In millions, except per share data)

ACQUIRER

Name	Regal Rexnord Corporation
Ticker	RRX
Latest filing date	02-24-23
Filing type	10-K
Current share price	\$149.66
Diluted shares outstanding (MM)	66.8
Equity value	9,999.0

TARGET

Name	Altra Industrial Motion Corp
Ticker	AIMC
Latest filing date	03-01-23
Filing type	10-K
Unaffected share price (10/26/22)	\$40.26
Diluted shares outstanding (MM)	66.2

SOURCES

New borrowing to acquire target	3,732.2
New borrowing to refinance target debt	1,044.5
Cash used to acquire target	369.1
Value of stock issued to acquire target	0.0
New borrowing to fund fees	116.2
Total sources	5,262.0

USES

Stock to target	0.0
Cash to target	4,101.3
Target debt refinanced	1,044.5
Deal fees (advisory, legal, and accounting)	61.5
Financing fees (related to acq debt)	54.7
Total Uses	5,262.0
<i>Do sources equal uses?</i>	OK

Regal Rexnord - Altra

Assumptions

(In millions, except per share data)

DEAL STRUCTURE	
% Offer premium	54.0%
Offer price per share	\$62.00
Offer value	4,101.3
% Stock	0.0%
% Cash	100.0%
Tax structure	Stock Sale
Acquirer shares issued (MM)	0.0
Nominal exchange ratio	0.414
Actual exchange ratio	0.000

ASSET ADJUSTMENTS	
Tangible assets	
Book value of target PP&E	275.1
% Write-up	30.0%
Asset write-up	82.5
Useful life	15 yrs
Incremental depreciation expense	5.5
Incremental deferred tax liabilities	20.6
Intangible assets	
Book value of target intangible assets	970.4
% Write-up	120.0%
Asset write-up	1,164.5
Useful life	13 yrs
Incremental amortization expense	89.6
Incremental deferred tax liabilities	291.1

Regal Rexnord - Altra

Assumptions

(In millions, except per share data)

FINANCING	
% Cash consideration from debt	91.0%
% Cash consideration from excess cash	9.0%
Acquirer available cash	688.5
Acquirer new borrowing	3,732.2
Acquirer excess cash used	369.1
% of total acquirer cash balance	53.6%
Treatment of target debt	Refinanced
Target debt outstanding	1,044.5
Debt to be refinanced	1,044.5
Total acquisition financing	4,892.9
Term of loan (years)	6 yrs
Financing fees as % of financing	1.13%
Financing fees	54.7
Annual financing fee amortization	8.7
Interest rate on new debt	6.20%
Interest earned on cash	5.00%

OTHER ASSUMPTIONS	
Deal fees as % of offer value	1.50%
Deal fees	61.5
Assumed annual pretax cost synergies	\$160.00
Tax rate for DTL calculation	25.00%
Acquirer tax rate	19.40%
Target tax rate	32.90%
Target interest expense FY22	51.5

PURCHASE PRICE ALLOCATION	
Target assets - book value	3,676.6
Plus: PP&E write ups	82.5
Plus: Intangible asset write ups	1,164.5
Less: Write off of target goodwill	(1,524.5)
Less: Write off of target deferred tax assets	(7.5)
Target assets - fair market value	3,391.6
Target liabilities - book value	1,674.2
Less: Write off of target deferred tax liabilities	0.0
Plus: New deferred tax liabilities created	311.8
Target liabilities - fair market value	1,986.0
Target net book value - fair market value	1,405.7
Offer value	4,101.3
Goodwill created in transaction	2,695.7

OTHER ASSUMPTIONS	
RRX calendar year ending 2022 Adjusted EBITDA	1,111.7
AIMC calendar year ending 2022 Adjusted EBITDA	388.5
RRX intangible amortization, FY22	185.5
AIMC intangible amortization, FY22	55.2
RRX restructuring & related costs, FY22	46.8
RRX transaction & related costs, FY22	19.0

Regal Rexnord - Altra

Pro Forma Statements

(In millions, except per share data)

	Standalone		Adjustments		Pro forma
	Acquirer 02-24-23	Target 03-01-23	Increase	Decrease	
Assets					
Cash & equivalents	688.5	208.9		(369.1)	528.3
Accounts receivable	797.4	244.6			1,042.0
Inventory	1,336.9	338.9			1,675.8
Deferred tax assets	43.9	7.5		(7.5)	43.9
Other current assets	177.7	35.1			212.8
PP&E	807.0	275.1	82.5		1,164.6
Intangible assets	2,229.9	970.4	1,164.5		4,364.8
Goodwill	4,018.8	1,524.5	2,695.7	(1,524.5)	6,714.5
Other assets	168.8	71.6	54.7		295.1
Total Assets	10,268.9	3,676.6			16,041.7
Liabilities & Equity					
Accounts payable	497.7	165.8			663.5
Accrued expenses & def. revenue	470.7	191.1			661.8
Revolver & current debt	33.8	20.4		(20.4)	33.8
Long term debt	1,989.7	1,024.1	4,892.9	(1,024.1)	6,882.6
Convertible debt	0.0	0.0			0.0
Deferred tax liabilities	591.9	216.8	311.8	0.0	1,120.5
Other liabilities	262.5	56.0			318.5
Preferred stock	0.0	0.0			0.0
Noncontrolling interests	34.4	0.0			34.4
Shareholders equity	6,388.2	2,002.4	0.0	(2,063.9)	6,326.7
Total Liabilities & Equity	10,268.9	3,676.6			16,041.7
<i>Balance Check</i>	OK	OK			OK

Regal Rexnord - Altra Pro Forma Statements

(In millions, except per share data)

[illegible]

Regal Rexnord - Altra

Accretion Dilution Analysis

(In millions, except per share data)

EPS Accounting:

Year Ended

GAAP EPS

12-31-22

Cash EPS Adjusted EPS

12-31-22

12-31-22

Acquirer

Net income

488.9

488.9

488.9

EPS

\$7.29

\$7.29

\$7.29

Diluted shares outstanding (weighted avg.)

67.1

67.1

67.1

Target

Net income

127.0

127.0

127.0

EPS

\$1.94

\$1.94

\$1.94

Diluted shares outstanding (weighted avg.)

65.5

65.5

65.5

Transaction related expenses/income⁽¹⁾

Less: Interest expense from new deal debt

(303.4)

(303.4)

(303.4)

Plus: Target interest expense eliminated

51.5

51.5

51.5

Less: Interest income on cash forgone

(18.5)

(18.5)

(18.5)

Plus: Synergies

160.0

160.0

160.0

Less: Incremental depreciation expense

(5.5)

0.0

(5.5)

Less: Incremental amortization expense

(89.6)

0.0

0.0

Less: Financing fee amortization

(8.7)

0.0

(8.7)

Plus: Acquirer intangible amortization

0.0

0.0

185.5

Plus: Target intangible amortization

0.0

0.0

55.2

Plus: Restructuring and related costs

0.0

0.0

46.8

Plus: Transaction and related costs

0.0

0.0

19.0

Taxes (assumed at acquirer's rate)

41.5

21.4

(35.3)

Total after tax transaction related income/ (expenses)

(172.5)

(88.9)

146.7

Pro Forma Net Income

443.4

527.0

762.6

Pro Forma Shares Outstanding

67.1

67.1

67.1

Pro forma EPS

\$6.61

\$7.86

\$11.37

Acquirer standalone EPS

\$7.29

\$7.29

\$10.31

Accretion / Dilution per share

(\$0.68)

\$0.57

\$1.06

Accretion / Dilution %

(9.3%)

7.8%

10.3%

Additional pretax synergies required to breakeven

56.50

0.00

0.00

Regal Rexnord - Altra

Accretion Dilution Analysis

(In millions, except per share data)

Sensitivity Analysis

Annualized synergies	\$160.00
Interest rate on new debt	6.2%
Offer Price	\$62.00
% debt used in merger	91.0%

GAAP EPS Accretion / Dilution Per Share						
Offer Price						
% Debt Used in Merger	(\$0.68)	\$58.00	\$60.00	\$62.00	\$64.00	\$66.00
	82.0%	(\$0.41)	(\$0.51)	(\$0.61)	(\$0.72)	(\$0.82)
	86.5%	(\$0.44)	(\$0.55)	(\$0.65)	(\$0.75)	(\$0.85)
	91.0%	(\$0.47)	(\$0.58)	(\$0.68)	(\$0.78)	(\$0.88)
	95.5%	(\$0.50)	(\$0.61)	(\$0.71)	(\$0.81)	(\$0.92)
	100.0%	(\$0.53)	(\$0.64)	(\$0.74)	(\$0.85)	(\$0.95)

GAAP EPS Accretion / Dilution Per Share						
Annualized Synergies (\$mm)						
Interest Rate on New Debt	(\$0.68)	\$140.00	\$150.00	\$160.00	\$170.00	\$180.00
	5.7%	(\$0.63)	(\$0.51)	(\$0.39)	(\$0.26)	(\$0.14)
	6.0%	(\$0.77)	(\$0.65)	(\$0.53)	(\$0.41)	(\$0.29)
	6.2%	(\$0.92)	(\$0.80)	(\$0.68)	(\$0.56)	(\$0.44)
	6.5%	(\$1.07)	(\$0.95)	(\$0.83)	(\$0.71)	(\$0.59)
	6.7%	(\$1.21)	(\$1.09)	(\$0.97)	(\$0.85)	(\$0.73)

Cash EPS Accretion / Dilution Per Share						
Offer Price						
% Debt Used in Merger	\$0.57	\$58.00	\$60.00	\$62.00	\$64.00	\$66.00
	82.0%	\$0.82	\$0.72	\$0.62	\$0.53	\$0.43
	86.5%	\$0.79	\$0.70	\$0.60	\$0.50	\$0.40
	91.0%	\$0.77	\$0.67	\$0.57	\$0.47	\$0.37
	95.5%	\$0.74	\$0.64	\$0.54	\$0.44	\$0.34
	100.0%	\$0.72	\$0.61	\$0.51	\$0.41	\$0.31

Cash EPS Accretion / Dilution Per Share						
Annualized Synergies (\$mm)						
Interest Rate on New Debt	\$0.57	\$140.00	\$150.00	\$160.00	\$170.00	\$180.00
	5.7%	\$0.62	\$0.74	\$0.86	\$0.98	\$1.10
	6.0%	\$0.47	\$0.59	\$0.71	\$0.84	\$0.96
	6.2%	\$0.33	\$0.45	\$0.57	\$0.69	\$0.81
	6.5%	\$0.18	\$0.30	\$0.42	\$0.54	\$0.66
	6.7%	\$0.03	\$0.15	\$0.27	\$0.39	\$0.51

Adjusted EPS Accretion / Dilution Per Share						
Offer Price						
% Debt Used in Merger	\$1.06	\$58.00	\$60.00	\$62.00	\$64.00	\$66.00
	82.0%	\$1.33	\$1.23	\$1.13	\$1.02	\$0.92
	86.5%	\$1.30	\$1.19	\$1.09	\$0.99	\$0.89
	91.0%	\$1.27	\$1.16	\$1.06	\$0.96	\$0.86
	95.5%	\$1.24	\$1.13	\$1.03	\$0.92	\$0.82
	100.0%	\$1.21	\$1.10	\$1.00	\$0.89	\$0.79

Adjusted EPS Accretion / Dilution Per Share						
Annualized Synergies (\$mm)						
Interest Rate on New Debt	\$1.06	\$140.00	\$150.00	\$160.00	\$170.00	\$180.00
	5.7%	\$1.11	\$1.23	\$1.35	\$1.48	\$1.60
	6.0%	\$0.97	\$1.09	\$1.21	\$1.33	\$1.45
	6.2%	\$0.82	\$0.94	\$1.06	\$1.18	\$1.30
	6.5%	\$0.67	\$0.79	\$0.91	\$1.03	\$1.15
	6.7%	\$0.53	\$0.65	\$0.77	\$0.89	\$1.01

Regal Rexnord - Altra Shares

(In millions, except per share data)

	Target				Acquirer			
	Altra Industrial Motion Corp				Regal Rexnord Corporation			
Current share price				\$62.00				\$149.66
Basic shares outstanding (most recent filing)				65.4				66.2
+ Additional shares from options				0.7				0.8
- Shares repurchased under treasury stock method				(0.4)				(0.5)
+ Unvested RSUs				0.6				0.3
+ Additional shares from convertible debt				0.0				0.0
+ Additional shares from convertible stock				0.0				0.0
Diluted shares outstanding				66.2				66.8
Options	# Outstanding	Strike Price	Include?	Proceeds	# Exercisable	Strike Price	Include?	Proceeds
Tranche 1	0.7	\$40.77	0.7	27.6	0.8	\$92.94	0.8	75.1
Tranche 2								
Total			0.7	27.6			0.8	75.1

Regal Rexnord – Altra

Sources

Primary sources are company SEC filings (10-K, 8-K) and market data as of the modeling date (3/1/2023) except where noted as an estimate. Each figure is also documented in a cell comment on the relevant model tab.

Regal Rexnord (Acquirer) — Company Financials & Market Data

Regal Rexnord Corporation FY2022 Form 10-K (SEC EDGAR, period ended 12/31/2022)

Adjusted EBITDA = \$1,111.7mm, Regal Rexnord adjusted EBITDA per the Net Income to Adjusted EBITDA reconciliation in the Q4 2022 earnings release, 2/1/23. See Assumptions!N60.

Intangible amortization, FY22 = \$185.5mm (Note 5, printed p.77). See Assumptions!N62.

Restructuring & related costs, FY22 = \$46.8mm (Note 15, printed p.105). See Assumptions!N64.

Transaction & related costs, FY22 = \$19.0mm (\$14.7mm Altra + \$4.3mm Rexnord; MD&A, printed p.66). See Assumptions!N65.

Balance-sheet line-item groupings for the pro forma (prepaid/other assets, accrued liabilities, other liabilities). See Pro Forma BS!H12, H16, H21, H26.

Regal Rexnord (NYSE: RRX) — market close share price \$149.66 as of 2/24/2023

Current acquirer share price used for equity value and diluted-share (treasury method) calculations. See Assumptions!H11.

Altra Industrial Motion (Target) — Company Financials

Altra Industrial Motion Corp FY2022 Form 10-K (SEC EDGAR, period ended 12/31/2022)

Altra adjusted EBITDA = \$388.5mm, FY2022 Non-GAAP Adjusted EBITDA disclosed directly in Altra's Q4 & FY2022 earnings release (Reconciliation of Non-GAAP Adjusted EBITDA, Year Ended 12/31/2022); on the same footing as Regal's (both add back stock compensation). The announced ~13.1x target multiple reconciles off LTM Q3 2022 (deal announced 10/26/22): FY2022 \$388.5 less Q4 2022 \$96.2 plus Q4 2021 \$87.2 = \$379.5mm LTM, or 13.01x against the \$4,936.9mm offer EV (13.04x vs. management's stated ~\$4.95bn) — an inference from published quarters, not a disclosure. Release dated 3/1/2023 4:47pm ET, after the close on the modeling date. See Assumptions!N61.

Altra

Amortization of intangibles = \$55.2mm (consolidated statement of cash flows). See Assumptions!N63.

Interest expense, net = \$51.5mm for FY2022 (consolidated statement of earnings, p.48; also MD&A p.50). See Assumptions!H66.

Balance-sheet line-item groupings for the pro forma (deferred taxes/other assets, accrued liabilities, other liabilities). See Pro Forma BS!I16, I21, I26.

Altra Industrial Motion (NASDAQ: AIMC) — unaffected share price \$40.26 as of 10/26/2022

Unaffected (pre-announcement) target share price; the \$62.00 offer implies a ~54.0% premium. Source: Yahoo Finance, 10/27/2022 (included in source documents). See Assumptions!H20, H25, H26.

Deal Financing Terms

Regal Rexnord Form 8-K, filed 1/9/2023 — debt issuance terms

Principal-weighted average coupon of 6.2% on acquisition financing, applied to the full \$4,891.7mm including term-loan borrowings. See Assumptions!H56.

Regal Rexnord Form 8-K, filed 1/24/2023 — notes offering

Principal-weighted average tenor of 6.3 years across the four note tranches. See Assumptions!H52.

Financing fees of ~1.13% implied from \$4,700mm gross vs. ~\$4,647mm net proceeds. See Assumptions!H53.

Modeling Estimates & Methodology

Analyst estimates (no external source — modeling judgment)

Yield earned on cash = 5.0% (estimate). See Assumptions!H57.

Deal fees = 1.5% of offer value (estimate; RRX recorded \$14.7mm of transaction costs in 2022, the \$86.9mm 2023 figure was not knowable at the modeling date). See Assumptions!H60.

DTL calculation tax rate = 25% (used for incremental DTLs on Altra's FDII credits from overseas operations). See Assumptions!H63.

Methodology notes

Options are consolidated to a weighted average per company; neither company discloses tranche-by-tranche data. See Shares!B18.

Pro forma cash EPS is not an adjusted-EPS figure and deviates from management's adjusted cash EPS. See Accretion Dilution!N36.

Sensitivity data-table inputs (synergies \$160mm, rate 6.2%) are set on the Accretion Dilution tab to feed the Excel data tables. See Accretion Dilution!E45.

Model completed 9/3/2026 by Tyler Spencer using data available as of 3/1/2023. Uploaded source filings: Regal Rexnord 2022 10-K, Altra 2022 10-K, Regal Rexnord Q4 2022 earnings release (2/1/2023), Altra Q4 & FY2022 earnings release (3/1/2023).